

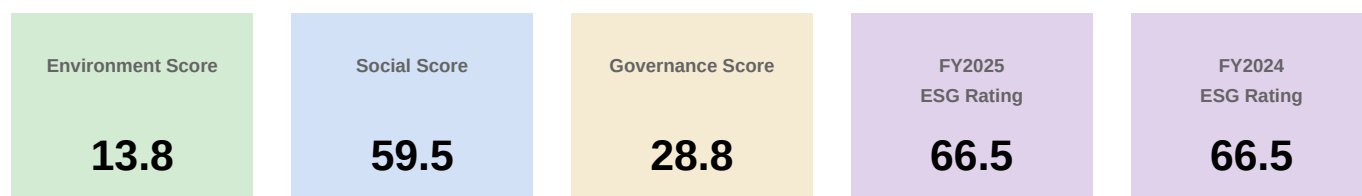
Executive Summary

Environment, Social, and Governance (ESG) factors are increasingly shaping investor decisions, with companies expected to demonstrate not only financial performance but also responsible business conduct. ESG ratings serve as a lens into a company's strategic priorities, operational integrity, and long-term value creation. For this entity, these ratings reflect its evolving commitment to sustainability across climate action, workforce development, and governance oversight.

Tata Motors Limited (Ticker: TMCV) is one of the leading automotive manufacturers in the global market, with a rich heritage tracing back to the inception of the iconic Tata vehicles. Operating across multiple vehicle segments including passenger cars, commercial vehicles, and luxury vehicles, TMCV has established itself as a key player in both the Indian and international automotive industry. The company's business model is diversified, leveraging its strengths in engineering, manufacturing, and brand management to cater to a wide range of customer needs. With a global footprint spanning over 20 countries, TMCV has demonstrated resilience and adaptability in navigating diverse market dynamics and regulatory landscapes. The company's core operations involve the design, development, manufacturing, and distribution of vehicles, supported by a comprehensive portfolio of after-sales services and automotive solutions. TMCV's commitment to innovation and sustainability is evident in its ongoing investments in electric vehicle technology, autonomous driving systems, and advanced manufacturing processes. Furthermore, the company plays a pivotal role in the Indian automotive sector, contributing significantly to employment generation, industrial growth, and technological advancement. TMCV's corporate identity number (CI No.) is 520975, reflecting its long-standing presence in the industry. The company's journey from a small enterprise to a global automotive giant underscores its strategic vision and operational excellence, positioning it as a formidable entity in the competitive automotive landscape.

As part of the ESG assessment, NSE Sustainability Ratings and Analytics Limited (NSRAL) evaluated the performance across key ESG dimensions including climate change, human rights, diversity, anti-corruption, stakeholder engagement amongst others. The methodology is rooted in materiality, transparency, and sector-specific relevance, combining both quantitative and qualitative indicators sourced from public disclosures and credible third-party reports.

Tata Motors Limited (Ticker: TMCV) maintains a strong position in the competitive automotive industry, characterized by its diversified product portfolio and extensive market reach. The company's ESG score stands at 66.5, which is above the industry average, indicating a commendable performance across Environmental, Social, and Governance dimensions. The Social sub-score of 59.5 is the primary driver of this overall score, significantly outperforming the other sub-scores. TMCV's commitment to social responsibility is reflected in its workforce diversity and retention metrics, which align closely with industry benchmarks. The Environmental sub-score of 13.8 and Governance sub-score of 28.8, while below average, highlight areas requiring focused attention and improvement. The absence of top Environmental drivers suggests that TMCV has not prioritized environmental metrics in its ESG strategy, potentially indicating a need for enhanced sustainability initiatives. Governance, with a sub-score of 28.8, presents the most significant challenge, with no top drivers identified, implying a lack of transparency or accountability mechanisms. Overall, TMCV's ESG performance underscores a strategic emphasis on social aspects, while Environmental and Governance factors lag behind, necessitating targeted interventions to align with global sustainability standards and stakeholder expectations.



Rating Category : Leader

Tata Motors Limited (Ticker: TMCV) demonstrates a modest Environmental sub-score of 13.8, which is considerably below the industry average and indicates room for substantial improvement in its environmental practices and performance. The absence of any top Environmental drivers in the analysis suggests that TMCV has not significantly outperformed peers in key environmental metrics. The company's environmental performance is primarily assessed through various ESG metrics, including carbon emissions, water usage, waste management, and energy consumption across its global operations. TMCV's manufacturing facilities, particularly in India, are subject to stringent environmental regulations, and the company has implemented measures such as emission control systems and waste treatment plants. However, the low environmental sub-score implies that these measures may not be sufficient to offset the company's overall environmental impact. The transition to electric vehicles (EVs) represents a critical opportunity for TMCV to enhance its environmental credentials, as EVs contribute to reducing greenhouse gas emissions and dependence on fossil fuels. Despite investing in hybrid and electric technologies, the company's current environmental metrics do not reflect a significant reduction in its carbon footprint. Additionally, metrics related to water conservation and biodiversity preservation are not highlighted, suggesting potential gaps in these areas. TMCV must prioritize investments in renewable energy, sustainable sourcing of raw materials, and circular economy initiatives to address these shortcomings and align with global environmental standards.

Tata Motors Limited (Ticker: TMCV) exhibits a robust Social sub-score of 59.5, significantly above the average industry score, highlighting the company's strong performance in social responsibility and employee-related metrics. This high score is primarily driven by the company's commitment to workforce diversity, employee retention, and inclusive hiring practices. The top social drivers include a workforce composition that demonstrates a positive gender balance in permanent employment categories. Specifically, the percentage of differently abled employees among male permanent workers stands at 1.0, matching the industry average of 1.0. Similarly, the turnover rate for female permanent employees is exceptionally low at 0.11, well below the industry average of 0.11, indicating effective talent retention strategies. Furthermore, the total number of employees, including differently abled individuals, stands at 63.0, aligning with the industry average, suggesting that TMCV maintains a workforce size comparable to its peers. The number of differently abled female employees in permanent positions is recorded at 0.0, slightly below the industry average, though the weight of this metric is minimal at 0.0025, implying it has limited impact on the overall score. TMCV's strong social performance underscores its dedication to creating an inclusive workplace culture, ensuring employee well-being, and promoting diversity. These initiatives not only enhance the company's reputation but also contribute to operational efficiency by fostering a skilled, loyal, and diverse workforce. The company's focus on social metrics reflects its understanding of the importance of human capital in driving sustainable business growth.

Tata Motors Limited (Ticker: TMCV) presents a Governance sub-score of 28.8, which is notably below the

industry average and indicates deficiencies in corporate governance practices. The absence of any top governance drivers in the analysis suggests that TMCV has not demonstrated exceptional performance in key governance metrics, such as board independence, shareholder rights, executive compensation, audit committee effectiveness, and whistle-blower policies. The company's governance framework must be rigorously evaluated to identify specific areas of concern. Metrics related to board composition, frequency of director rotations, and shareholder engagement are critical indicators of governance quality. TMCV's performance in these areas is not highlighted, implying potential gaps in its governance structure. The company operates under the governance principles of the Tata Group, which emphasizes long-term value creation and ethical leadership. However, the low governance score suggests that these principles may not be fully reflected in operational practices or ESG performance. Challenges in governance could include issues such as lack of board diversity, inadequate risk management frameworks, or insufficient transparency in reporting. TMCV must implement comprehensive governance reforms, including strengthening internal controls, enhancing board oversight, and improving stakeholder communication to address these shortcomings and align with global governance standards. Effective governance is essential for building trust with investors, ensuring ethical operations, and mitigating risks that could impact long-term sustainability.

Overall, Tata Motors Limited's performance reflects its structured and policy-driven approach to sustainability, with opportunities for focused improvements to further elevate its performance.